

GCE

Economics

H460/03: Themes in economics

A Level

Mark Scheme — Predicted Paper (Hard)

MARKING INSTRUCTIONS

These are the marking instructions for the predicted paper. Use them in conjunction with the question paper. Alternative correct answers and unexpected approaches should be given marks that fairly reflect the relevant knowledge and skills demonstrated.

INSTRUCTIONS TO EXAMINERS:

A: INDIVIDUAL ANSWERS

- The indicative content indicates the expected parameters for candidates' answers but be prepared to recognise and credit unexpected approaches where they show relevance.
- Using 'best fit', decide first which set of BAND DESCRIPTORS best describes the overall quality of the answer. Once the band is located, adjust the mark concentrating on features of the answer which make it stronger or weaker following the guidelines for refinement.
- Be prepared to use the full range of marks.

B: TOTAL MARKS

- The maximum mark for the paper is 80.
- The quality of the extended response is assessed on parts of the question paper identified with the use of an asterisk (*). The assessment of this skill is embedded within each of the levels of response, and it must be considered when determining the mark to be awarded within the appropriate level.

Levels of Response / Level Descriptors

Level	Knowledge (AO1)	Application (AO2)	Analysis (AO3)	Evaluation (AO4)
Strong	Precise knowledge and understanding of economic ideas, principles, and models.	Ability to apply economic ideas to a specific context, using relevant and focussed examples fully integrated and good use of data where appropriate.	Correct analysis with consistently well-developed links through a coherent chain of reasoning which addresses the question. Any relevant diagram(s) are accurate with no significant errors.	Counter argument(s) are fully developed. A conclusion is drawn weighing up both sides, considering extent and alternatives and reaches a supported judgement.
Good	Mainly accurate knowledge and understanding of economic ideas, principles, and models.	Ability to apply economic ideas to a specific context, using some relevant and focussed examples to the given context and scope of the question.	An explanation of causes and consequences, developing most of the links in the chain of argument. Any relevant diagram(s) are predominantly correct.	Counter argument(s) are fully developed. A conclusion is drawn weighing up both sides/comparing alternatives but without reaching a supported judgement.
Reasonable	Awareness of the meaning of economic ideas, principles, and models.	Ability to apply economic ideas to some elements of the given context, although possibly inconsistent examples not always relevant to the given context.	There is correct analysis in the form of single links. These address the question but are not developed into a clear chain of reasoning. Any relevant diagram(s) may have errors that affect the validity of the analysis.	Counter arguments are considered but not fully developed. Some attempt to conclude, which shows some recognition of the influencing factors, but without considering extent and alternatives.
Limited	Limited awareness of the meaning of economic ideas, principles, and models.	Very little ability to apply economic ideas to some elements of the given context. Examples may be generic or irrelevant to the given context.	There is little evidence of reasoning that addresses the question asked. Simple statement(s) of cause and consequence are	Counter arguments are simply stated. Unsupported statements or assertions, or no evaluation.

			used. Absence of relevant diagram(s) or diagram(s) which have errors that significantly affect the validity of the analysis.	
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SECTION A

Multiple Choice Answer Key

Question	Answer	Question	Answer
1	A	16	D
2	A	17	C
3	C	18	A
4	D	19	A
5	A	20	C
6	D	21	B
7	D	22	A
8	B	23	D
9	C	24	D
10	C	25	A
11	C	26	A
12	C	27	B
13	C	28	C
14	A	29	A
15	A	30	C

Section A — Rationale

Q	Key	Rationale	AO
1	A	A Correct: Marginal utility is the extra satisfaction gained from consuming one more unit — the change in total utility per unit. B This is total utility, not marginal utility. C This is marginal cost, not marginal utility. D This is price, which reflects willingness to pay.	AO1
2	A	A Correct: Multiplier = $1 / (1 - MPC + MPT + MPM)$? More precisely, $MPW = MPS + MPT + MPM = 0.4 + 0.2 + 0.1 = 0.7$. Multiplier = $1/MPW = 1/0.7 = 1.43$. B Incorrect calculation confusing MPC with MPW. C This would apply if $MPW = 0.5$. D This would apply if $MPW = 0.4$ (MPS only).	AO2
3	C	A Expansionary fiscal policy can still work; it's monetary policy that is ineffective in a liquidity trap. B In a liquidity trap rates are very low, not high. C Correct: In a liquidity trap, nominal interest rates are near zero and households/firms prefer to hold money rather than spend or invest — making monetary policy ineffective. D Velocity typically falls in a liquidity trap, not rises.	AO1
4	D	A Higher benefits reduce the incentive to work, raising the natural rate of unemployment. B Structural unemployment is part of the natural rate, not a reduction in it. C Stronger union bargaining may raise real wages above equilibrium and increase the natural rate. D Correct: Retraining programmes address skills mismatches, reducing structural unemployment — a component of the natural rate.	AO3
5	A	A Correct: $YED = \% \Delta QD / \% \Delta Y$. Since $YED = +2.3$ and income falls by 5%, $\% \Delta QD = +2.3 \times (-5\%) = -11.5\%$. The good is a luxury (normal income-elastic) and demand falls sharply in a recession. B This would only apply with $YED = +0.46$. C Incorrect sign — income falls, so demand for a normal luxury falls. D Incorrect sign.	AO2
6	D	A Price and output remain unchanged — the defining feature of the kinked demand curve. B Same — no change. C The kinked demand curve predicts stable prices despite cost shifts within the discontinuity. D Correct: When the new MC curve still passes through the vertical (discontinuous) section of MR, profit-maximising price and output remain at the original kink — predicting price rigidity in oligopoly.	AO3
7	D	A Economies of scale are a cost-based barrier to entry — incumbents enjoy lower AC. B Patents give legal protection and are a barrier to entry. C Brand loyalty deters entry by making it costly for new firms to attract customers. D Correct: The existence of many substitute goods increases competition and reduces barriers to entry — it is not itself a barrier.	AO1
8	B	A Cournot models do not use advertising as the strategic variable. B Correct: In the Cournot model, firms simultaneously choose their output quantities, taking other firms' outputs as given.	AO1

		C Firms choosing prices simultaneously is the Bertrand model. D Collusion is a separate consideration, not part of Cournot's core model.	
9	C	A Marginal utility is the change in total utility, which is -2 here — negative. B Zero marginal utility would occur when total utility reaches its maximum; here it has already fallen. C Correct: MU of the 5th unit = $78 - 80 = -2$. This is negative marginal utility; total utility is now declining. D Rising MU contradicts diminishing marginal utility.	AO2
10	C	A Incorrect calculation. B Incorrect direction. C Correct: At $\text{£}1 = \\$1.60$, imports cost $\text{£}600,000$ ($\\$960,000 \div 1.60$). At $\text{£}1 = \\$1.20$, imports cost $\text{£}800,000$ ($\\$960,000 \div 1.20$). Cost rises by $\text{£}200,000$ because sterling has depreciated. D Incorrect magnitude.	AO2
11	C	A $AC = MC$ is productive efficiency. B $MC = MR$ is profit maximisation. C Correct: Total revenue is maximised when $MR = 0$ (the point on the demand curve where $PED = -1$). D $PED = 0$ would be perfectly inelastic demand; revenue maximisation requires unitary elasticity.	AO1
12	C	A Contestable markets discipline incumbents through the threat of entry, reducing x-inefficiency. B Low entry barriers make firms more efficient to survive. C Correct: Monopolies protected by high barriers face little competitive pressure, giving them latitude to operate above minimum AC (x-inefficiency). D Perfect competition forces firms to produce at minimum AC to survive.	AO3
13	C	A A monopsonist pays a lower wage and employs fewer workers compared with competitive equilibrium. B Monopsony wages are below MRP, so wages are lower. C Correct: A monopsonist maximises profit where $MCL = MRP$, then pays the wage along the labour supply curve at that quantity — this is below both competitive wage and MRP, and employs fewer workers. D Incorrect — employment is lower under monopsony.	AO3
14	A	A Correct: $MV = PY$ (growth form): $\% \Delta M + \% \Delta V = \% \Delta P + \% \Delta Y$. $8 + (-2) = \% \Delta P + 3$. $\% \Delta P = 6 - 3 = 3\%$. B Incorrect arithmetic. C Incorrect — this would be the calculation ignoring real growth. D Incorrect — this would be the calculation assuming velocity growth of 0%.	AO2
15	A	A Correct: The Marshall-Lerner condition: a depreciation improves the current account if the sum of price elasticities of demand for exports and imports exceeds 1. B If $\text{sum} < 1$, depreciation worsens the current account (reverse J-curve). C Supply elasticities are not the relevant condition. D The PED for imports also matters.	AO1
16	D	A Ad valorem refers to tax rate structure (e.g. VAT), not progressivity. B Progressive: average rate rises as income rises. C Proportional: average rate constant. D Correct: Regressive: average rate falls as income rises — the poor	AO1

		pay a higher proportion of their income.	
17	C	A Gini measures relative inequality, not absolute poverty. B Gini does not measure income level. C Correct: Gini coefficient ranges 0 (perfect equality) to 1 (perfect inequality); A's 0.28 < B's 0.42 means A has lower inequality (more equal). D Incorrect interpretation of the Gini coefficient.	AO3
18	A	A Correct: With perfectly inelastic demand, consumers absorb the entire per-unit tax as price rises by the full amount of the tax. Quantity demanded is unchanged, so there is no deadweight loss either. B Producers pass the full burden of the tax on to consumers because demand is perfectly inelastic — consumers bear all of the tax. C Incorrect — tax burden is split according to relative elasticities; equal sharing requires equal elasticities. D With perfectly inelastic demand there is no change in quantity, so no deadweight loss is generated.	AO3
19	A	A Correct: The paradox of thrift: individually rational saving, when undertaken by all households simultaneously, reduces consumption and AD, lowering national income and ultimately reducing total saving. B This describes the standard interest rate effect on saving. C This is the classical view — the opposite of the paradox. D An accounting identity that does not describe the paradox.	AO1
20	C	A Buyers typically know less, not more, than sellers in used car markets. B This describes moral hazard, not adverse selection. C Correct: Akerlof's classic 'market for lemons' result: buyers cannot verify quality, so are unwilling to pay high prices; sellers of high-quality cars withdraw, and low-quality cars dominate. D Free-rider problems relate to public goods.	AO1
21	B	A Minimum AC is productive efficiency; under perfect competition, $P = MC = AC$, so the firm is also allocatively efficient. B Correct: In perfect competition long-run equilibrium, $MC = AR$ (allocative) and $MC = AC$ at minimum (productive) — both are achieved simultaneously. C Long-run perfect competition has normal, not supernormal, profit. D Both types of efficiency are achieved, not just one.	AO1
22	A	A Correct: Firms charge a higher price in the market with more inelastic demand (lower PED) because consumers are less responsive to price — maximising profit requires higher markup. Output in this market is typically a smaller share because total output is allocated until MR is equal across both. B Output in the inelastic market is usually smaller, not larger. C Higher price, not lower, in the inelastic market. D Incorrect — lower price applies to the more elastic market.	AO3
23	D	A Absolute advantage is a concept of productivity, not a type of trade effect. B Comparative advantage explains patterns of trade, not the specific welfare effect here. C Trade creation would be country X buying from a more efficient producer after joining a customs union. D Correct: Trade diversion: imports are diverted from a lower-cost source (Z) to a higher-cost source (Y) simply because Y's tariff is now zero. The switch is caused by preferential tariffs, not efficiency — a welfare loss.	AO3

24	D	A Higher reserve ratios reduce the multiplier. B Higher cash demand reduces the banking system's lending capacity. C Quantitative tightening shrinks the money supply. D Correct: When the central bank buys bonds from commercial banks, it credits their reserves. These reserves can then be used for lending via the money multiplier, expanding the money supply (QE).	AO2
25	A	A Correct: With a binding price ceiling, firms earn lower revenues and some exit the market in the long run, reducing supply further and worsening shortages. B Producer surplus falls, not rises. C Shortages may cause queues and informal pricing, increasing price instability. D A binding price ceiling creates deadweight loss.	AO3
26	A	A Correct: Contestable markets are characterised by low sunk costs and freedom of entry/exit, enabling firms to enter to capture supernormal profit and exit quickly when profit normalises — 'hit and run'. B Monopolies face high barriers preventing entry. C Natural monopoly barriers (economies of scale) prevent hit and run. D Perfect competition has freedom of entry/exit but already operates at normal profit in the long run.	AO1
27	B	A Stagflation requires falling output, not rising AD. B Correct: Stagflation (stagnation + inflation) is caused when SRAS shifts inwards (raising prices, cutting output) and AD also falls (reducing output further). An inward SRAS shift alone can also cause it; AD fall may represent a recession alongside cost-push inflation. C Outward SRAS lowers inflation, contradicting stagflation. D Outward LRAS boosts output, contradicting stagnation.	AO3
28	C	A This is not a limitation — GNI per capita does account for average income. B GNI per capita is incomplete but not specifically because it accounts for informal activity — it doesn't fully capture it. C Correct: GNI per capita converted at market exchange rates does not reflect the real purchasing power of income. PPP adjustments are therefore needed for meaningful international comparisons. D GNI measures total national income, not just net exports.	AO3
29	A	A Correct: Kuznets' hypothesis (inverted U): as industrialisation begins, inequality rises; as development proceeds (educational access, redistribution), inequality falls. B Continuously rising inequality is not the Kuznets hypothesis. C Constant inequality is not the hypothesis. D Continuously falling inequality is not the hypothesis.	AO1
30	C	A Higher current account deficits are typically financed by financial account net inflows, not reductions. B Official reserves could fall, but would require a specific policy intervention; the standard accounting offset is the financial account. C Correct: The balance of payments as a whole balances: a wider current account deficit must be matched by a larger financial account net inflow (or reserves drawdown). D The capital account is usually relatively small and less central to the offset.	AO3

SECTION B

Question 31

Question	Answer	Marks	Guidance
31	Using the data in Fig. 1.1, calculate the three-firm concentration ratio for the UK grocery market in 2023. Award 2 marks for correct answer: Three largest firms in 2023: Tesco (27.3%), Sainsbury's (14.8%), Asda (13.7%) $27.3 + 14.8 + 13.7 = 55.8\%$	2	Accept 55.8%. Award 1 mark for adding the three largest shares but with an arithmetic error. Award 1 mark if answer is 55.8 without %.

Question 32

Question	Answer	Marks	Guidance
32	Explain, using the information in Extract 1, one reason why the four largest UK supermarkets may engage in non-price competition rather than price competition. Award 1 mark for identification of a reason. Award up to 2 marks for developed explanation referring to Extract 1. Example: Firms may fear a price war (1). If one firm cuts prices, rivals can quickly match — as with price-matching guarantees against Aldi and Lidl (1) — so all firms lose profit but none gains market share. Therefore, firms prefer non-price competition (loyalty schemes, advertising) that builds brand loyalty without triggering retaliation (1). Other valid reasons: - Interdependence in oligopoly (kinked demand curve) makes price changes risky. - Non-price competition (e.g. £78m advertising spend by Tesco) creates lasting brand differentiation. - Allegations of predatory pricing are scrutinised by CMA, making price wars legally risky. - Non-price competition enables dynamic efficiency / innovation that price competition alone cannot.	3	AO1 1 mark; AO2 2 marks. Must link to specific data/extract for full marks.

Question 33*

Evaluate, using an appropriate diagram and the information in Extract 1, the likely consequences for consumers of the oligopolistic structure of the UK supermarket sector. [15]

Level / Mark	Descriptor
Level 3 (11–15 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Good application of economic concepts to the context and scope of the question, or some good use of data where appropriate. Strong analysis of the question characterised by consistently well-developed chains of reasoning; relevant diagram(s) which are accurate, integrated into the response and have no errors that affect the validity of the analysis. Strong evaluation of different perspectives on the question characterised by well-developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a logical and well supported judgement.
Level 2 (6–10 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Reasonable application of economic concepts to some elements of the given context and scope of the question, although possibly inconsistent or not always relevant. Reasonable analysis of the question characterised by undeveloped chains of reasoning in the form of single links; relevant diagram(s) which have errors that affect the validity of the analysis or are not integrated into the response. Reasonable evaluation of different perspective(s) on the question characterised by some developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; an unsupported judgement.
Level 1 (1–5 marks)	Reasonable knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Limited application of economic concepts to some elements of the given context and scope of the question. Use of data may be generic or irrelevant. Limited analysis of the question characterised by reasoning that lacks a clear structure and / or does not address the question; simple statement(s) of cause and consequence; absence of relevant diagram(s) or diagram(s) which have errors / omissions that significantly affect the validity of the analysis. Limited evaluation of different perspective(s) on the question characterised by simple statement(s) related to counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a stated judgement, or the absence of a judgement.
0 marks	Response is not worthy of credit.

Guidance

The side of the argument presented first should be credited as Analysis with the other side credited as Evaluation.

Relevant diagrams:

A kinked demand curve with price P_1 , quantity Q_1 , showing the discontinuity in MR explaining price rigidity; or a standard oligopoly cost diagram showing $P > MC$ with deadweight loss. A game-theory payoff matrix may also be accepted for analysis of collusion vs competition.

Indicative Content

Knowledge

- Oligopoly market structure
- Concentration ratios and market power
- Allocative and dynamic efficiency
- Non-price competition; game theory; collusion

Application

- Application to Extract 1: 'Big four' hold 65% of UK grocery market (down from 76%).
- Application to Extract 1: Aldi and Lidl together hold 18% of the market.
- Application to Extract 1: Tesco profit margin 3.8%; Aldi UK made a loss despite sales growth.
- Application to Extract 1: Food price inflation peaked at 19.2% in March 2023.
- Application to Extract 1: Tesco spent £78m on advertising; Clubcard and Nectar loyalty schemes.
- Application to Extract 1: CMA 2023 investigation found weak price competition for essentials but no profiteering.
- Application to Extract 1: Groceries Code Adjudicator regulates supplier relationships.

Analysis

- Adverse effects for consumers: High concentration gives the largest firms pricing power — prices may exceed marginal cost, leading to allocative inefficiency and higher prices (consumer surplus loss).
- Adverse effects: CMA evidence of weak price competition on essentials implies higher food prices for consumers, especially during the cost-of-living crisis when food inflation hit 19.2%.
- Adverse effects: Non-price competition (advertising, loyalty schemes) absorbs resources that could instead go into lower prices, and may lead to wasteful duplication.
- Adverse effects: Tacit collusion risk when a few firms dominate — leading to sustained high prices via price leadership.
- Positive effects: Economies of scale allow the 'big four' to offer lower prices than smaller shops — consumers benefit from lower LRAC.
- Positive effects: Entry of Aldi and Lidl (up from 7.6% to 17.8% of market) increased contestability, driving price competition and price-matching promises.
- Positive effects: Supernormal profits fund dynamic efficiency — online delivery, self-checkouts, and private-label innovation benefit consumers.

Evaluation

- CMA investigation found no clear evidence of profiteering — suggesting consumer harm is limited.
- Aldi and Lidl absorbed costs rather than raised prices (Aldi made a loss), showing competitive discipline.
- The market is more contestable than it appears: online grocers and discounters have eroded big-four share from 76% to 65%.
- Tesco's 3.8% margin is modest compared with tech oligopolies — suggesting competitive pressure.
- Consumer loyalty schemes provide genuine value for regular shoppers, not just a non-price distraction.
- Regulation (GCA, CMA) mitigates abuse of market power.

Judgements might include:

- Depends on the degree of contestability (entry of Aldi, Lidl, online retail).
- Depends on effectiveness of CMA and GCA regulation.
- Depends on the product segment — essentials may have weaker price competition than premium ranges.
- Depends on whether economies of scale are genuinely passed to consumers.
- Overall: consumers may benefit from scale and innovation but suffer from higher prices on some essentials — net effect is ambiguous and context-dependent.

Question 34

Question	Answer	Marks	Guidance
34	Using the data in Fig. 2.1, compare the change in the UK budget deficit with the change in debt interest payments between 2019 and 2023. Award 1 mark for identifying direction of changes. Award 1 mark for data: budget deficit rose from 2.3% to 4.4% of GDP (+2.1 pp). Award 1 mark for data: debt interest payments rose from £48bn to £89bn (+£41bn, or +85%). Full credit example: Both the budget deficit and debt interest payments rose between 2019 and 2023 (1). The deficit rose by 2.1 percentage points of GDP (1), and debt interest payments nearly doubled from £48bn to £89bn (1).	3	1 mark for direction; 1 mark for deficit figures; 1 mark for debt interest figures. Accept relative or absolute comparisons. Maximum 2 marks without figures.

Question 35

Question	Answer	Marks	Guidance
35	Using the information in Extract 2, identify two potential economic consequences of rising UK government bond yields. Award up to 1 mark for each valid consequence (max 2 marks). Examples: - Higher cost of servicing the national debt — £20bn extra per 1 percentage point rise (1). - Emergency Bank of England intervention to stabilise pension funds (1). - Downward pressure on bond prices, potentially threatening financial stability (1). - Higher borrowing costs for firms and households linked to long-term gilt yields (e.g. mortgage rates) (1). - Reduced room for fiscal expansion / higher taxes or spending cuts required to meet fiscal rules (1). - Loss of market and political confidence (resignation of Chancellor and PM) (1).	2	One mark per distinct consequence. Must come from Extract 2.

Question 36*

Evaluate, using the information in Extract 2, the view that the UK government should raise taxes or cut spending to reduce the national debt. [15]

Level / Mark	Descriptor
Level 3 (11–15 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Good application of economic concepts to the context and scope of the question, or some good use of data where appropriate. Strong analysis of the question characterised by consistently well-developed chains of reasoning; relevant diagram(s) which are accurate, integrated into the response and have no errors that affect the validity of the analysis. Strong evaluation of different perspectives on the question characterised by well-developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a logical and well supported judgement.
Level 2 (6–10 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Reasonable application of economic concepts to some elements of the given context and scope of the question, although possibly inconsistent or not always relevant. Reasonable analysis of the question characterised by undeveloped chains of reasoning in the form of single links; relevant diagram(s) which have errors that affect the validity of the analysis or are not integrated into the response. Reasonable evaluation of different perspective(s) on the question characterised by some developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; an unsupported judgement.
Level 1 (1–5 marks)	Reasonable knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Limited application of economic concepts to some elements of the given context and scope of the question. Use of data may be generic or irrelevant. Limited analysis of the question characterised by reasoning that lacks a clear structure and / or does not address the question; simple statement(s) of cause and consequence; absence of relevant diagram(s) or diagram(s) which have errors / omissions that significantly affect the validity of the analysis. Limited evaluation of different perspective(s) on the question characterised by simple statement(s) related to counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a stated judgement, or the absence of a judgement.
0 marks	Response is not worthy of credit.

Guidance

Indicative Content

Knowledge

- Fiscal policy (contractionary, expansionary)
- National debt vs budget deficit
- Crowding out / crowding in
- Multiplier effects
- Fiscal rules and sustainability
- Debt interest burden

Application

- Application to Extract 2: Debt 98% of GDP (~£2,650bn).
- Application to Extract 2: Budget deficit averaged 5.2% of GDP 2020–23.
- Application to Extract 2: Debt interest of £89bn exceeds education (£84bn) and over twice defence (£52bn).
- Application to Extract 2: 1pp rise in yields adds £20bn to annual interest bill.
- Application to Extract 2: Mini-budget sparked market crisis; OBR warns of 'increasingly vulnerable' fiscal position.
- Application to Extract 2: Some argue for higher growth through investment instead.

Analysis

- For tax rises/spending cuts: Reduces the deficit and slows debt accumulation, improving debt sustainability.
- Reduces crowding out — lower government borrowing eases pressure on bond yields and frees capital for private investment.
- Lower bond yields reduce debt servicing costs, creating a virtuous circle — freeing up resources for public services long-term.
- Restores market confidence (recall the 2022 mini-budget crisis when unfunded tax cuts spiked yields).
- Helps meet OBR fiscal rules — debt falling in five years — supporting the UK's credit rating and lower long-run borrowing costs.

Evaluation

- Tax rises and spending cuts reduce AD, slowing growth and possibly tipping the economy into recession via the multiplier effect. With AD falling, tax revenue falls automatically, partially offsetting deficit reduction (paradox of austerity).
- Higher taxes/spending cuts are regressive if they fall on essential services or raise VAT — worsening inequality.
- Alternative: raise growth through investment in productivity-enhancing infrastructure. Higher growth raises tax revenue without austerity.
- Debt sustainability depends on the gap between interest rate (r) and growth rate (g) — if $g > r$, debt/GDP can fall even without fiscal tightening.
- Crowding-in may be more relevant: public investment attracts private investment, raising potential GDP.
- Short-run pain may be politically unsustainable, leading to U-turns and more market volatility.

Judgements might include:

- Depends on the cyclical position of the economy — austerity during a downturn is more damaging.
- Depends on the composition: tax rises on wealth/income more progressive than VAT; capital spending cuts more damaging than current spending cuts.
- Depends on whether tightening is credible — gradual and signalled in advance vs sudden and unfunded.
- Depends on the interest-rate/growth-rate differential.
- Depends on monetary policy coordination — if tightening allows the Bank to loosen, overall impact is smaller.

Question 37

Question	Answer	Marks	Guidance
37	Using Fig. 3.1, compare the median hourly earnings of gig workers and full-time employees in the UK in 2023. Award 1 mark for identifying direction of difference: full-time employees earn more than gig workers. Award 1 mark for data: full-time £15.80 vs gig (after costs) £8.20 — a gap of £7.60/hr, or gig workers earn roughly half (52%) of full-time hourly pay.	2	1 mark for direction; 1 mark for figures. Accept either absolute gap or relative comparison.

Question 38

Evaluate, using the information in Extract 3, whether government intervention is necessary to protect the wages and working conditions of gig economy workers. [8]

Level / Mark	Descriptor
Level 2 (5–8 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Good application of economic concepts to the context and scope of the question, or some good use of data where appropriate. Strong analysis of the question characterised by consistently well-developed chains of reasoning; relevant diagram(s) which are accurate, integrated into the response. Strong evaluation of different perspectives on the question characterised by well-developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a logical and well supported judgement.
Level 1 (1–4 marks)	Reasonable knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Reasonable application of economic concepts to some elements of the given context and scope of the question, although possibly inconsistent or not always relevant. Reasonable analysis of the question characterised by undeveloped chains of reasoning in the form of single links; relevant diagram(s) which have errors. Limited evaluation of different perspective(s) on the question characterised by simple statement(s) related to counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a stated judgement or the absence of a judgement.
0 marks	Response is not worthy of credit.

Indicative Content

Knowledge

- Labour market failure
- Monopsony power
- Minimum wages and labour regulation

- Flexibility vs security trade-off
- Gig economy classification of workers

Application

- Application to Extract 3: 4.4 million UK gig workers (13% of working-age population).
- Application to Extract 3: Median hourly earnings £8.20 (after costs) — below National Living Wage of £10.42.
- Application to Extract 3: 40% of gig workers earn below NLW when waiting time is included.
- Application to Extract 3: Supreme Court Uber ruling classified drivers as 'workers'.
- Application to Extract 3: Only 5% trade union density among gig workers.
- Application to Extract 3: Low entry barriers (smartphone, vehicle, right to work).

Analysis

- Intervention is needed: Gig workers earn below the National Living Wage — a clear labour market failure.
- Platforms have monopsony-like power — workers are geographically dispersed and dependent on platforms for access to customers.
- Weak trade union density (5% vs 22% nationally) means collective bargaining cannot correct market failure.
- Regulation (classification as 'workers' as in Uber ruling) ensures minimum wage, paid holiday, and pension contributions.

Evaluation

- Low barriers to entry mean supply is high — wages reflect the marginal revenue product of labour in a competitive-like market.
- Flexibility is a real benefit — workers choose gig work because it suits them; regulation may reduce flexibility and employment.
- Government intervention risks unintended consequences: platforms may exit the market or reduce employment (as happened in California).
- Classifying gig workers as employees could raise consumer prices, reducing demand.
- Consumers benefit from lower prices enabled by the gig business model.
- Better-designed alternatives: portable benefits, skills training, and digital platform regulation may achieve social aims without the costs of employee classification.

Judgements might include:

- Depends on whether the primary failure is a monopsony or just low skills.
- Depends on elasticity of labour supply — low elasticity strengthens the case for intervention.
- Depends on effectiveness of worker classification/rulings.
- Depends on size of informal sector response.

ASSESSMENT OBJECTIVES GRID

Question	AO1	AO2	AO3	AO4	TOTAL	Quantitative Skills
Section A Total	15	7	8		30	(13)
31		2(2)			2	(2)
32	1	2			3	
33*	2(2)	3(2)	4(2)	6(2)	15	(8)
34	2(2)	1(1)			3	(3)
35	1(1)	1(1)			2	(2)
36*	2	3	4	6	15	
37		2(2)			2	(2)
38	1	1	2	4	8	
Section B Total	9	15	10	16	50	(17)
Paper Total	24	22	18	16	80	(30)